

1.1 : An Endowment Economy

The Central Planner Problem

In this economy (without distortions), the two welfare theorems apply.

- 1) the competitive allocations (C_1, C_2) are those obtained by a central planner
- 2) The optimal allocations can be supported as a competitive equilibrium (with endowments adequately chosen by the Planner)

The central planner must solve

$$\max_{C_1, C_2} \log(C_1) + \beta \log(C_2)$$

subject to the two budget constraints

$$C_1 \leq Y_1 \quad C_2 \leq Y_2$$

~~Note that there is here no price, because the central planner fully internalizes all the market conditions.~~